

FIBONACCI RETRACEMENT STRATEGY

Fibonacci Retracement Strategy

Fibonacci retracement is a technical analysis tool used in trading to identify potential support and resistance levels during price pullbacks in a trend. Traders draw it between two extreme points on a chart, like a recent high and low, to predict where prices might pause or reverse before resuming the trend.

Fibonacci Series

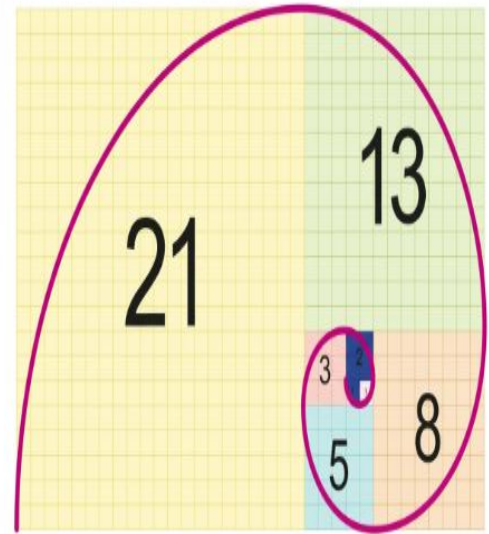
- The Fibonacci series is a sequence of numbers starting from zero arranged so that the value of any number in the series is the sum of the previous two numbers.
- The Fibonacci sequence is as follows:
- 0 , 1, 1, 2, 3, 5, 8, 13, 21, 34, 55, 89, 144, 233, 377, 610...

Fibonacci series in Nature

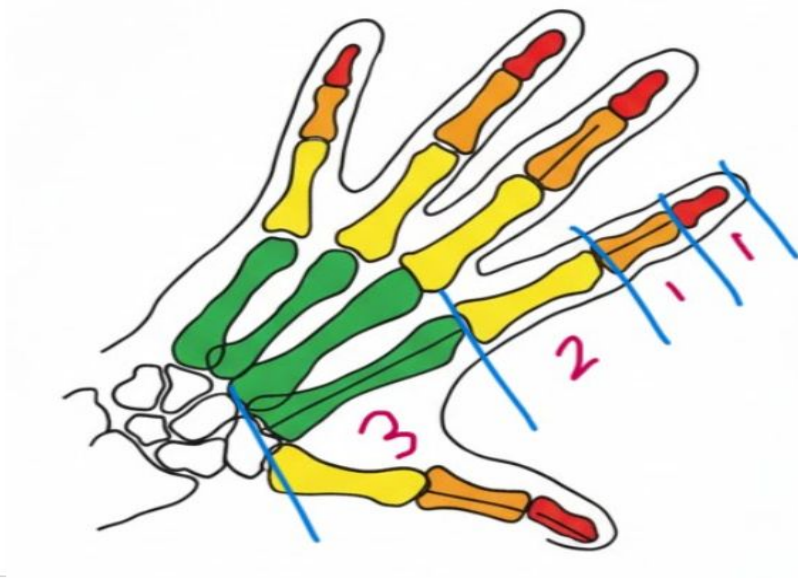
- Fibonacci series is a mathematical wonder, starting simply with 0 and 1, where each next number adds the two before it to form 0, 1, 1, 2, 3, 5, 8, 13, 21, and so on. This straightforward rule generates spirals and patterns that emerge naturally throughout the living world, driving efficient growth in plants, animals, and even cosmic structures as nature instinctively optimizes space, light, and expansion without excess.

Examples in Nature

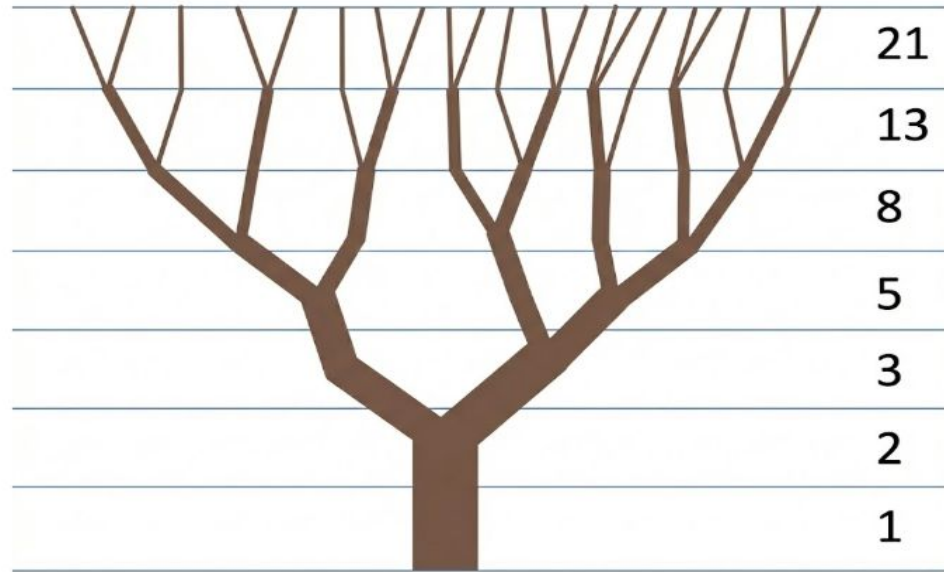
- Sunflower: Seeds follow the Fibonacci series in their spiral arrangement



- Human Fingers: Phalange bones ratio as 2-3-5-8 from thumb to pinky finger.



- Tree Branches: Split into 3, 5, or 8 main branches to maximize sunlight exposure.



- Snail/Nautilus Shell: Chambers grow in sequence sizes, forming a tight expanding spiral.



- Galaxy: Spiral arms follow the Fibonacci series.



Understanding Fibonacci Ratios

- 0 , 1, 1, 2, 3, 5, 8, 13, 21, 34, 55, 89, 144, 233, 377, 610...
- Divide any number in the series by the previous number; the ratio is always approximately 1.618.
- For example:
- $610/377 = 1.618$
- $377/233 = 1.618$
- $233/144 = 1.618$
- The ratio of 1.618 is considered as the Golden Ratio

Understanding Fibonacci Ratios

- Example in real world
- Honey Bees: In a beehive, if you divide the number of female bees by the number of male bees, you typically get a ratio very close to 1.618.
- Human Body Height: Measure your total height and divide it by the distance from your belly button to the floor. The result is approximately 1.618.
- Human Arm: Measure the distance from your shoulder to your fingertips, then divide it by the distance from your elbow to your fingertips. The result is close to 1.618

- When a number in the Fibonacci series is divided by its immediate succeeding number.
- For example:
- $89/144 = 0.618$
- $144/233 = 0.618$
- $377/610 = 0.618$
- At this stage, do bear in mind that 0.618, when expressed in percentage is 61.8%.

- When any number in the Fibonacci series is divided by a number two places higher.
- For example:
- $13/34 = 0.382$
- $21/55 = 0.382$
- $34/89 = 0.382$
- 0.382, when expressed in percentage terms, is 38.2%

- Also, When a number in the Fibonacci series is divided by a number 3 place higher.
- For example:
- $13/55 = 0.236$
- $21/89 = 0.236$
- $34/144 = 0.236$
- $55/233 = 0.236$
- 0.236, when expressed in percentage terms, is 23.6%.

Relevance to Stocks Markets

- Just like nature follows these hidden rules, the stock market does too.
- Stocks never move in a straight line. After a big jump up (or a big drop down), the price almost always takes a "breath" and pulls back slightly. This is called a **Retracement**.
- **Example:** Imagine a stock jumps from ₹50 to ₹100. It rarely goes straight to ₹120. Instead, it might dip back down to ₹70 first, recharge, and then climb to ₹120.



- We can use the "magic numbers" (61.8%, 38.2%, 23.6%) to predict exactly where that dip will stop.





- Traders use these levels to find the best price to enter a trade during a temporary pullback, so they can ride the main trend for more profit.
- The 50% level is not part of the Fibonacci sequence, but it is often included as a psychological level and can act as a strong support or resistance level.

How to Select and Draw Fibonacci Retracement

- **Selecting the Tool**
- Look at the left-side toolbar on your chart.
- Find the icon that looks like 4 horizontal lines (often the 3rd icon down).
- Click the small arrow next to it to open the menu.
- Select "Fib Retracement" from the list (or use the shortcut Alt + F).



How to Draw ?

To draw it correctly, you must connect a specific Low point to a High point.

For an Uptrend (Buying on a Dip):

- Click on the Swing Low (the lowest point where the move started).
- Drag your mouse and click on the Swing High (the highest point where the move paused).
- **Result:** The 0% line will be at the top, and the 100% line will be at the bottom.

How to Draw ?

- **For a Downtrend (Selling on a Rally):**
- Click on the Swing High (the top where the drop started).
- Drag and click on the Swing Low (the bottom where the drop paused).
- **Result:** The 0% line will be at the bottom, and the 100% line will be at the top.
- **Tip:** Always draw from Left to Right, following the direction of time

Simple Fibonacci Trading Checklist

1. Entry & Confirmation

- The Zone: Watch for price to reject any key Fibonacci level (23.6%, 38.2%, 50%, or 61.8%).
- Candle Signal: Wait for a clear reversal candle (Hammer, Bullish Engulfing) at the level.
- Volume: Volume should be low on the drop (pullback) and high on the reversal candle.

Simple Fibonacci Trading Checklist

2. Stop Loss (SL)

- **Placement:** Place your SL just below the next Fibonacci level down from your entry.
- **Example:** If entry is at 38.2%, SL goes below 50%.
- **Example:** If entry is at 50%, SL goes below 61.8%.

Simple Fibonacci Trading Checklist

3. Money Management

- Golden Rule: Always enter with position sizing and keep SL.
- Risk-Reward: Aim for a minimum 1:2 RR (gain twice what you risk).
- Risk Control: Adjust your quantity so you never lose more than 1-2% of your capital if the SL hits.
- **Note:** Avoid buying if the price breaks below 61.8%, as this usually signals a trend reversal.

THANK YOU